

MANDATE 2024

RESULT AND REPERCUSSIONS

After the verdict, the Street has turned cautious with analysts expecting the new government to reassess some of its policy priorities

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► **D-STREET WITNESSED** a roller-coaster ride on June 3 and 4. First, the markets tasted a huge high after exit polls predicted a decisive majority for the Bharatiya Janata Party (BJP) and its coalition, the National Democratic Alliance (NDA), in the General Elections. Then it came crashing down after the BJP fell short of a majority of 272 seats in the 543-member House, though the NDA made it past the halfway mark,

winning nearly 300 seats.

As a result, the Street has turned cautious, and analysts believe the government could reassess some of its priorities.

On June 4, the market capitalisation of BSE-listed companies plunged ₹31 lakh crore as the Opposition Indian National Developmental Inclusive Alliance (INDIA) put up a better fight than projected.

Meanwhile, the benchmark

BSE Sensex crashed 4,389 points, or 5.74%, to 72,079, witnessing its biggest single-day fall since March 23, 2020, when the index lost more than 13% after the outbreak of the Covid-19 pandemic. Likewise, the NSE Nifty index plummeted 1,379.40 points, or 5.93%, to 21,884.50. Both the indices recovered more than 3% on June 5.

“There is no need to panic in this market. The NDA is coming

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POLL IMPACT In general, elections in the past have always led to sharp movements in the markets after the results, but history has shown that they stabilise one to six months after the outcome